

Course Outline

FAST School of Management

National University of Computer & Emerging Sciences Lahore Campus



Course:	Financial Accounting		
Course code:	AF 1002	Year/Semester:	1/2 nd
Program:	BSAF/BBA/BSBA/BFT	Units/Cr Hrs:	3 Cr Hrs
Department:	FAST School of Management	Instructor:	
Course Type:	Core Course	Email:	
Pre-Requisite(s):	AF 1001	Phone:	
Prepared By:	Cluster Coordinator (Accounting)	Consultation Hours:	
Approved By:	Head of Department	Approval Date:	15 July, 2024

COURSE DESCRIPTION

This course builds on the concepts developed in the 'Fundamentals of Accounting' course. The course introduces some basic International Accounting Standards to the students and discusses their applicability for the financial statements. The primary objective of the course is to introduce to the students the concepts of company financial statements and to develop basic acumen of interpreting those financial statements. In addition, the course will also discuss the formulation of the cash flow statements and the statement of changes in equity.

COURSE OBJECTIVES

Upon successful completion of the course, students should be able to:		Program Educational Objectives (PEOs)
1	Build on the concepts developed in the course of Fundamentals of Accounting	2
2	Develop knowledge and understanding of concepts and techniques necessary to prepare financial statements	3
3	Understand the regulatory framework of accounting along with the qualitative characteristics of financial information, applying ethical principles to ensure responsible financial reporting.	2,5
4	Understand the application of pertinent financial reporting standards	1,2

COURSE LEARNING OUTCOMES (CLOs)

CLO#	Learning Outcome Statement	Program Learning Outcomes (PLOs)	Bloom's Taxonomy Level (BT)
CLO1	Should be able to describe the regulatory framework of financial reporting	5	Understand
CLO2	Should be able to identify and apply the qualitative characteristics of financial information and fundamental bases of accounting	5	Understand
CLO3	Should be able to demonstrate an in-depth understanding of the double-entry system	3	Apply
CLO4	Should be able to record a variety of transactions and events.	3	Apply
CLO5	Should be able to prepare financial statements for companies and partnerships	3	Apply
CLO6	Should be able to perform basic financial statement analysis, including interpreting key financial ratios and performance indicators.	2	Analyse
CLO7	Should be able to understand and apply reporting standards relevant at this level	5	Apply

LEARNING OUTCOME ASSESSMENT STRATEGY

Assessment Tool	LO1	LO2	LO3	LO4	LO5	LO6	LO7
Quizzes	20	30	05	05	05	10	10
Assignments / Projects	40	25	05	05	10	30	20
Mid Term-I	10	15	20	20	20	00	20
Mid Term-II	10	15	30	30	20	20	20
Final Exam	20	15	40	40	45	40	30

* Percentages are meant to be viewed vertically.

Course Outline
FAST School of Management
National University of Computer & Emerging Sciences Lahore Campus



COURSE CONTENTS

CLOs/ Session	Contents	Text
CLO1 Session 1	Introduction and Syllabus Discussion.	
CLO1 Session 2	Revision of prior concepts relevant to this course.	
CLO1 Session 3	REGULATORY & CONCEPTUAL FRAMEWORK OF ACCOUNTING Regulatory Framework Understand the role of the regulatory system including the roles of the IFRS Foundation, the International Accounting Standards Board (IASB), and the role of International Financial Reporting Standards (IFRSs)	F3
CLO2 Session 4	Accounting Concepts and Conventions	
CLO3, CLO4, CLO7 Session 5	ACCOUNTING FOR TRANSACTIONS IN FINANCIAL STATEMENTS Tangible non-current assets (IAS 16) - Revision of previous course - Revaluations: record the revaluation of a non-current asset in ledger accounts, the statement of profit or loss and other comprehensive income and in the statement of financial position - Calculate the profit or loss on disposal of a revalued asset - Illustrate how non-current asset balances and movements are disclosed in financial statements	F3/ FW Chaps 26-27
CLO3, CLO4, CLO7 Session 6	- Calculate depreciation on a revalued noncurrent asset including the transfer of excess depreciation between the revaluation surplus and retained earnings - Calculate the adjustments to depreciation necessary if changes are made in the estimated useful life and/or residual value of a noncurrent asset	
CLO3, CLO4 Session 7	- Destruction of assets and insurance claims - Explain the purpose and function of an asset register	
CLO7 Session 8	Intangible non-current assets (IAS 38) - Recognize the difference between tangible and intangible non-current assets - Identify types of intangible assets	F3
CLO3, CLO4, CLO7 Session 9	- Definition and treatment of “research costs” and “development costs” in accordance with International Financial Reporting Standards - Calculate amounts to be capitalised as development expenditure or to be expensed from given information - Explain the purpose of amortization - Calculate and account for the charge for amortization	
Mid-Term 1		
CLO7 Session 10	Provisions and Contingencies (IAS 37) - Understand the definition of “provision”, “contingent liability” and “contingent asset” - Distinguish between and classify items as provisions, contingent liabilities or contingent assets	F3
CLO7 Session 11	- Identify and illustrate the different methods of accounting for provisions, contingent liabilities and contingent assets - Calculate provisions and changes in provisions - Account for the movement in provisions - Report provisions in the financial statements	
CLO3 Session 12	Suspense Accounts - Understand the purpose of a suspense account - Identify errors leading to the creation of suspense account - Make journal entries to clear a suspense account	F3/ FW Chap 33

Course Outline
FAST School of Management
National University of Computer & Emerging Sciences Lahore Campus



CLO5 Session 13-14	FINANCIAL STATEMENTS Companies - Understand the capital structure of a limited liability company including: - Ordinary shares - Preference shares - Loan notes - Record movements in the share capital and share premium accounts - Identify and record the other reserves which may appear in the company statement of financial position - Define a bonus issue and its advantages and disadvantages - Define a rights issue and its advantages and disadvantages - Record and show the effects of a bonus issue in the statement of financial position	F3/ Lecture Notes
CLO5 Session 15-16	- Record and show the effects of a rights issue in the statement of financial position - Record dividends in ledger accounts and the financial statements - Calculate and record finance costs in ledger accounts and the financial statements - Identify the components of the statement of changes in equity - Understand the nature of reserves - Identify and report reserves in a company statement of financial position - Prepare a statement of financial position or extracts as applicable from given information using accounting treatments as stipulated - Understand why the heading retained earnings appears in a company statement of financial position - Prepare a statement of profit or loss and other comprehensive income or extracts as applicable from given information using accounting treatments as stipulated - Understand how accounting concepts apply to revenue and expenses - Calculate revenue, cost of sales, gross profit, profit for the year, and total comprehensive income from given information	
CLO5 Session 17-18	- Disclose items of income and expenditure in the statement of profit or loss - Record income tax in the statement of profit or loss of a company - Understand the interrelationship between the statement of financial position and the statement of profit or loss and other comprehensive income - Identify items requiring separate disclosure on the face of the statement of profit or loss - Explain the purpose of disclosure notes	
Mid-Term 2		
CLO7 Session 19	Dealing with events after the reporting period (IAS 10) - Define an event after the reporting period in accordance with International Financial Reporting Standards - Distinguish between how adjusting and non adjusting events are reported in the financial statements	F3
CLO7 Session 20	Statement of cash flows (excluding partnerships) (IAS 7) - Differentiate between profit and cash flow - Understand the need for management to control cash flow - Recognise the benefits and drawbacks to users of the financial statements of a statement of cash flows	F3
CLO4, CLO7 Session 21-22	- Classify the effect of transactions on cash flows - Calculate the figures needed for the statement of cash flows including: - Cash flows from operating activities - Cash flows from investing activities - Cash flows from financing activities - Calculate the cash flow from operating activities using the indirect and direct method - Prepare statements of cash flows and extracts from statements of cash flows from given information - Identify the treatment of given transactions in a company's statement of cash flows	
CLO4, CLO5 Session 23-24	Accounting for Partnerships - Describe a partnership - Draw up ledger accounts and financial statements for a partnership - Calculation of goodwill for partnerships	FW Chaps 41-44
CLO4, CLO5 Session 25-26	- Explain why there is a need to revalue assets in a partnership - Calculate the amount of asset revaluation gain or loss attributable to each partner - Record entries relating to the dissolution of a partnership	

Course Outline
FAST School of Management
National University of Computer & Emerging Sciences Lahore Campus



CLO6 Session 27	Basic interpretation of accounts - Describe how the interpretation and analysis of financial statements is used in a business environment - Explain the purpose of interpretation of ratios - Ratios: - Calculate key accounting ratios - Profitability - Liquidity - Efficiency - Financial position	F3/ FW Chap 47
CLO6 Session 28-29	- Explain the interrelationships between ratios - Analysis of financial statements - Calculate and interpret the relationship between the elements of the financial statements with regard to profitability, liquidity, efficient use of resources and financial position - Draw valid conclusions from the information contained within the financial statements and present these to the appropriate user of the financial statements	

INDIGENOUS MATERIAL USED		
S. No	Material /Activity	Associated Topic
1	Companies Act 2017	Share Capital and listed companies
2	PSX Listing Regulations	Rules & Regulatory Aspects of Corporate Governance
3	ICAP Accounting Standards and rules	Different accounting concepts and principles

GRADING POLICY

Grading Scheme

Marks Distribution

Grading Mechanism	Weight
Announced/Surprise Quizzes	10%
Viva/Assignments	5%
Class Participation	5%
Mid Term Exam 1	15%
Mid Term Exam 2	15%
Final Exam	50%

** Final Grading will be relative grading, using inter-quartile range/MCA method.

TEXTBOOK& REFERENCE MATERIAL

Textbook:

- ACCA Study Text for Paper F3-Financial Accounting (latest edition)
- Frank Wood & Alan Sangster, 11th. Edition, Business Accounting 1, Pearson Longman

Materials:

Text may be supplemented with handouts, online resources and reports

ADMINISTRATIVE INSTRUCTIONS

Missing Exams or Quizzes

There will be NO retake of missed quiz.

Course Outline

FAST School of Management

National University of Computer & Emerging Sciences Lahore Campus



Studying

- Ahead of the class, it is expected that you have read the relevant chapters from the textbook;
- During the class you are expected to follow the lecture, take notes and ask questions; and
- After every class you would review your notes and solve the end of chapter exercises and read the textbook.

Attendance Policy

As you can see, almost every other session is a different topic and as such missing any classes will result in huge setback as you will lose substantial course content. Besides, owing to the interactive nature of the course, attendance is crucial. Therefore, only under unavoidable circumstances, student should think of missing a class. *See university policy on minimum attendance allowed for final exams.*

Scholastic Dishonesty

In the classroom and in all other academic activities, students are expected to uphold the highest standards of academic integrity. Any form of scholastic dishonesty is an affront to the pursuit of knowledge and jeopardizes the quality of the degree awarded to all graduates.

What exactly is plagiarism?

- Plagiarism is a form of cheating.
- Plagiarism is using someone else's ideas or words and saying they are your own.

If you use material from a text and do not acknowledge the source, you are committing plagiarism.

Specifically, these behaviors are often regarded as plagiarism:

- Copying directly from a text, acknowledging the source but pretending that you are paraphrasing.
- Paraphrasing or copying directly from a text without acknowledging the source.
- Copying from another student's assignment with or without the student's knowledge.

The following behaviors are regarded as misconduct:

- Submitting the same assignment in two different papers.
- Getting someone else to write an assignment for you.

You are also involved in misconduct if you:

- Let another student copy from your own work.
- Write an assignment for another student.

Students who violate the rules on scholastic dishonesty are subject to disciplinary penalties, including the possibility of failure in the course and/or dismissal from the University. *Since dishonesty harms the individual, all students, and the integrity of the University, policies on scholastic dishonesty will be strictly and actively enforced.*